

Curriculum on Financial Literacy

Curriculum Statement

This guide and program is designed to deliver an engaging, entertaining, and educating experience for youth. It is designed to give youth the information needed to navigate the complex web of financial institutions and instruments that will shape their financial future. This curriculum is paired with Engage's workshops that help deliver the material to the classroom.

Introduction: What is Financial Literacy and Why Is It Important

Financial literacy means to possess the knowledge, skills, and behavioural habits to make informed and responsible decisions with your money. By understanding basic financial concepts and the skills and habits to use that knowledge, you will have a healthier relationship with money.

Why is financial literacy important? It is proven that the stronger your financial literacy is the less vulnerable you are to financial fraud and traps. Financial literacy impacts all areas of your life both short and long term. Actions such as simply going out with friends for food or buying something online are financial decisions that are small but in a greater financial picture have the same potential as saving for an engagement ring or buying a house. Once you begin to understand the weight of each financial decision, it can greatly improve your life.

The format of this curriculum is workshops and chapters in this document:

Financial Literacy Curriculum	
Workshops	Content
Investing: Basics of investing and understanding risk.	Risk and Tolerance Investing: Capital, Risk, Return Types of Investments Stock market: Basics
Budgeting and Saving	Saving money: • Why? ◦ Retirement, housing etc • How: ◦ Avoid lifestyle creep ◦ TFSA, High yield saving account, RRSP, etc Budgeting: • Expense tracking • Income division
Credit and Debt Management	Credit Management: Understanding credit scores, responsible use of credit cards. • Credit is not free money • Interest sucks, pay immediately • Credit scores

	Debt Management: Strategies for managing and paying off debt. • Reiterate interest sucks • Uses lessons of budgeting to pay down debt. • DO NOT TAKE OUT MORE DEBT TO PAY DEBT
Tax Filings	Knowing how to declare their income and write off basic/ common expenses. CRA will find you Tax forms Write off common expenses.
Financial	Setting financial goals and planning for the future. Practical applications of previous lessons

Chapter 1: Investing and Risk

Introduction

Many people would question why investing comes first in a guide on financial literacy. However, there is a saying that “time in the market, beats timing the market” the earlier you start investing the better and we put that into practice by starting our guide with that. So what is investing?

Investing is the act of expending money (the initial amount is called a principal) with the expectation of achieving a positive return through the appreciation of value. This can be as simple as buying a product and hoping that its resale value will be higher, or as complicated as flipping houses or options trading. However before we dive into the various forms of investing we must cover what they all share, that being *risk*.

Risk in investing means the potential to lose money or assets. Some investing has the potential to only lose what you initially put in (principal); others can see you owing money if it falls through. Alongside risk is risk tolerance, your ability to financially and mentally handle risk. Financial risk tolerance is the ability for you to handle losses or the time when the money is locked into the investment. If someone is wealthy with no debt, they can invest and be okay with losing their principal, being unable to access the money, or even owing money. On the other hand someone who is not wealthy and has debt may not be able to financially handle the losses or will need to access that money to pay off something. Mental financial risk tolerance involves your ability to control yourself in the face of gains or losses. It's common for people to invest in a stock for example see it return and sell, then feel regret as it goes higher, or conversely believe it will go higher and not sell then for it to crash. Losses go the same way, people may panic when their investment is losing value and sell it to cut their losses, when instead had they held for another month they would have profited. Since nobody knows the future it's impossible to negate risk entirely but you can control your own tolerances.

Here is a list of investments and their associated risk, we will dive into these further down the document:

No to Low Risk	• Government bonds or debt ◦ a type of debt-based investment, where you loan money to a government in return for an agreed rate of
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	interest. • Money market ◦ a type of mutual fund that invests in highly liquid, near-term assets. These assets include cash, cash equivalent securities, and high-credit-rating, debt-based securities with a short-term maturity • High yield saving accounts ◦ A high-yield savings account is the same as a standard savings account but pays a much higher yield on your money. • Certificate of Deposit (CD) ◦ A certificate of deposit (CD) is a type of savings account that pays a fixed interest rate on money held for an agreed-upon period of time. CDs come in a variety of terms from 3, 6, or 12-months to 4 year, 5 year, and even 10-year terms. • Cash and cash equivalents ◦ Investments that can readily be converted into cash a highly liquid investment having a maturity of three months or less.
Moderate Risk	• Real Estate ◦ 4 main forms of real estate investing i. Rental properties ii. Real Estate Investment Groups (REIGs) iii. House Flipping iv. Real Estate Investment Trusts (REITs) • Mutual funds ◦ A portfolio of investments funded by all the investors who have purchased shares in the fund. So a basket of securities and you own a portion of the basket. • Stocks ◦ A security that indicates the holder has proportionate ownership in the issuing corporation and is sold predominantly on stock exchanges • Corporate bonds or debt. ◦ Same definition as the other but we'll explore this risk further down.
High Risk	• Options ◦ Financial derivatives that give buyers <i>the right, but not the obligation</i>, to buy or sell an underlying asset at an agreed-upon price and date. • Futures ◦ A futures contract is the <i>obligation</i> to sell or buy an asset at a later date at an agreed-upon price. Futures contracts are a true hedge investment and are most understandable when considered in terms of commodities like corn or oil. • Collectables ◦ Items with the potential for resale at a higher value. Usually non-traditional investments think toys, collectable cards, coins, clothing, watches, etc.

Investment Terms and Definitions

Term	Definition and Details
Security	A general term for various investments including: stocks, bonds, investment contracts, notes, and derivatives. 3 types: • Equity: which provides ownership rights to holders • Debt: loans repaid with periodic payments (Interest) • Hybrids: which combine aspects of debt and equity.
Stocks	A security that represents the proportion of ownership in the issuing corporation. Units of stock are called shares. They are issued to raise money by the corporation, representing the percentage of assets and earnings that can be claimed as an "owner". Your rights as an owner typically are the right to vote in shareholder meetings, receive dividends if and when they are distributed, and the right to sell your shares to somebody else. Votes are proportional to shares so if you own more shares you have more voting power. If a company has issued 10,000 shares and you own 100 shares you own 1% of the company. 2 types of stocks: 1. Common: usually entitles the owner to vote at shareholders' meetings and to receive any dividends paid out by the corporation. 2. Preferred: generally do not have voting rights, though they have a higher claim on assets, earnings, and dividends than common stockholders.
Bonds	An investment where the lender gives money to a government or company for a certain amount of interest at regular intervals. Bond details include the end date (Known as maturity) when the principal of the loan is due to be paid to the bond owner and usually include the terms for variable or fixed interest payments made by the borrower. Interest rates and bonds are inversely correlated with interest rates: when rates go up, bond prices fall, and vice-versa. As a lender your risk is dependent on the ability for a government or company to pay you back and with interests. There is more risk for corporate bonds than government bonds, as governments are less likely to be unable to pay. However, depending on the government/country risk increases.
Mutual Funds	Pooled investments managed by professional money managers. They trade on exchanges and provide investors with access to a wide mix of assets selected for the fund. They typically aim to outperform the market by actively buying and selling. Mutual funds charge annual fees, expense ratios, or commissions, which lower their overall returns as they come out of the funds assets.

Index Funds	Index funds are mutual funds that aim to replicate the performance of a market benchmark or index. Common Market benchmarks or indexes includes: • S&P500 • Dow Jones Industrial Average • VIX (Chicago Board Options Exchange's CBOE Volatility Index) • Nasdaq Composite For example, an S&P 500 index fund tracks that index by holding the 500 companies in the same proportions. Index funds are lower risk but may not have the same higher rate of return as mutual funds.
Exchange-Traded Fund (ETF)	An exchange-traded fund (ETF) is a pool of investments that can be bought and sold like an individual stock. ETFs can be structured to track anything from commodities to securities. They have lower expense ratios and commission than individual stocks.
Expense ratio	Measures how much of a fund's assets are used for administrative and other operating expenses. As it is a ratio it usually appears as a percentage. Expense ratio = Management fee / Total investment in the fund
Financial derivatives	Refers to a type of financial contract whose value is dependent on an underlying asset, group of assets, or benchmark and is between two or more parties. 2 main types of derivatives: • Futures: A futures contract is the obligation to sell or buy an asset at a later date at an agreed-upon price. Futures contracts are a true hedge investment and are most understandable when considered in terms of commodities like corn or oil. • Options: Contract that gives buyers the right, but not the obligation, to buy or sell an underlying asset at an agreed-upon price and date.
Dividend	The percentage of a company's earnings that is paid to its shareholders as their share of the profits. Dividend yield is the dividend–price ratio of a share is the dividend per share divided by the price per share. Dividend Yield (%) = Dividend Per Share / Share Price
Stock Exchange	A marketplace where securities, such as stocks and bonds, are bought and sold.
Over the counter (OTC)	Over-the-counter or off-exchange trading or pink sheet trading is done directly between two parties, without the supervision of an exchange
Bull Market	A bull market is a market that is on the rise and where the economy is sound.
Bear Market	A bear market exists in an economy that is receding, where most stocks are declining in value.

Market capitalization	Represents the total dollar market value of a company's outstanding shares of stock.
Price-Earnings Ratio (P/E ratio)	Is a calculation that divides the market value share price by the company's earnings per share (EPS). A high P/E ratio can mean that a stock's price is high relative to earnings and possibly overvalued. A low P/E ratio might indicate that the current stock price is low relative to earnings.
CDP score	A CDP score is a snapshot of a company's environmental disclosure and performance. It uses a methodology that is fully aligned with regulatory boards and standards. B is an average good rating.
Growth stock	Refer to equities expected to grow at a faster rate compared to the rest of the market. Generally, growth stocks tend to outperform during times of economic expansion and when interest rates are low as the lower cost of borrowing means it's easier to expand.
Blue-chip stocks	Blue-chip stocks are well-established companies that have a large market capitalization. They have a long successful track record of generating dependable earnings and leading within their industry or sector. Think Microsoft, TD banking etc.
Income stock	Also known as dividend stocks, are equities that provide regular income by distributing a company's profits, or excess cash, through dividends that are higher than the market average.
Value stocks	Stocks that trade at a discount to what a company's performance might otherwise indicate, typically having more attractive valuations than the broader market. Stocks in the financial, healthcare, and energy sector tend to outperform during periods of economic recovery, as they usually generate reliable income streams.
Cyclical and Non-Cyclical Stocks	Cyclical stocks follow the economic cycle and are prone to volatility and outperform other stocks when consumers have more spending money for non-essential . Non-cyclical stocks operate in "recession-proof" industries that tend to perform reasonably well irrespective of the economy. Think about products and services people buy regardless if they have lots of money.
Penny stocks	Equity valued at less than \$5 and is considered highly speculative. Typically sold OTC.
IPO stock	IPO is short for Initial Public Offering. This refers to when a company goes public issuing stock.
Bubble	An economic bubble is a period when the current price greatly exceeds the intrinsic value, with the valuation that the underlying long-term fundamentals justify the price.
Short selling	Often referred to simply as a short is the act of borrowing a security whose price you think is going to fall and then selling it on the open market. You then buy the same stock back later, hopefully for a lower price than you initially sold it for, return the borrowed stock to your broker, and pocket the difference.

How to Read a Stock Chart



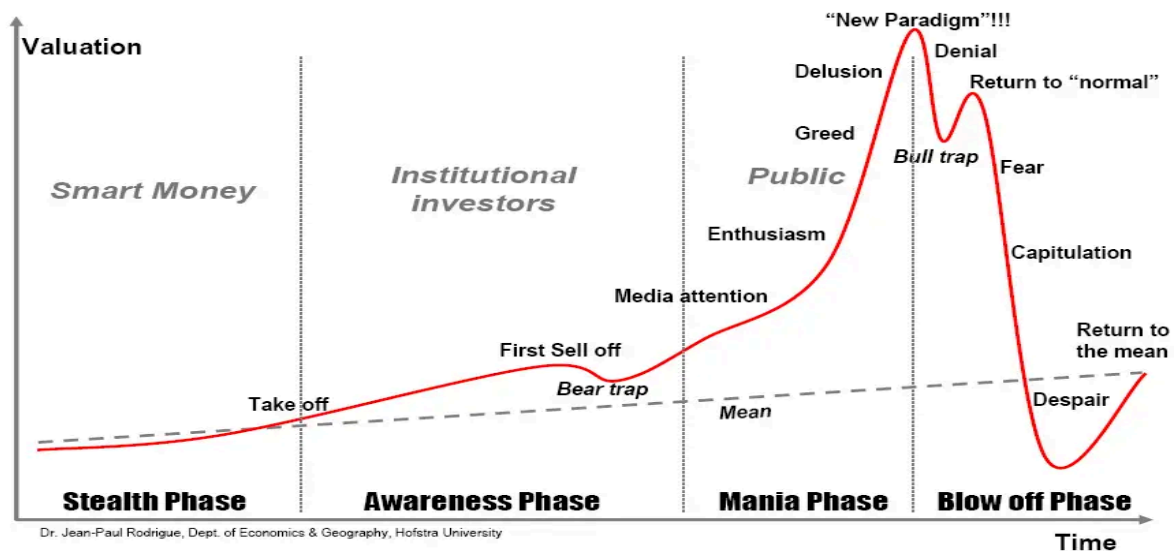
This is a screenshot of a stock from google, you can easily google a company's stock and you will find the basic information listed here. The current share price is found at the top left in U.S. dollars. Underneath that we have that day's gains or losses, in the example we see a gain at that time of 2.80% from the opening price. After that we see the closing time and the after hours. The market (Toronto Stock Exchange, the Canadian Securities Exchange, the New York Stock Exchange, and the Nasdaq) is open from Monday-Friday 9:30 a.m. to 4:00 p.m. Eastern Time. After hours is trading that occurs outside of these regular hours.

From there we have the graph and its time frame options allowing you to see the stock price movement during those periods of time. YTD short for Year to Date is a unique time frame showing the price starting January 1 of each year. Max shows from the day the stock was first listed on the market.

After that we go to the bottom with several pieces of information. Open shows the opening price that means the first stock trade of the day. High and Low shows the highest price of the day traded at and Low the lowest of the day. Mkt Cap shows the total value of the company's stock. P/E ratio shows the price earning ratio as defined in the table earlier. Div yield shows the dividend yield. CDP score as defined earlier. The 52 week low and high show the lowest and highest prices traded in the last 52 weeks.

Stock Market Cycles

Main Stages in a Bubble



This is a famous chart by Dr Jean-Paul Rodrigue often used to highlight the “bubble” in assets. The term bubble refers to a period when the current price greatly exceeds the intrinsic value, Intrinsic valuation meaning the underlying long-term fundamentals justify the price. The bubble grows when people believe in the potential growth in value of the asset. For example if you buy a limited time item (a collectible) from the retail store for the price of 50 dollars, its intrinsic value is 50 dollars. Over time as demand increases for the item its bubble begins to grow as the perceived value grows beyond the 50 dollars initially spent.

At each stage we see a clear categorization of when certain types of investors begin to invest their money. Smart money can be considered early adopters or believers in the investment, they see the potential and are willing to risk their money. Examples include early adopters of Bitcoin and Tesla. Institutional investors are companies that invest money on behalf of other people. Mutual funds are an example of institutional investing. Institutional investment is a sign that the asset is beginning to lose some of its risk and is having some real value. The public is when your average retail investor like yourself begins to hear about the investment typically through the news or other people.

The chart is simple to understand and the 2 areas that we’ll go over are bear and bull traps. Bear trap is when people who bet against (short) a security believing the first sell off is a sign of decline. Bull trap is the opposite when people buy a security assuming it will go up and instead falls in price leaving them with losses.

Buying and Selling Stocks

Order Type	Description
Market	The most basic order where it is executed immediately at the price that is being traded at.
Buy Limit	An order to buy a stock at or below a specific price. Place when you want to buy at a price lower than the current price.
Sell Limit	An order to sell a stock at or above a

	specific price. Place when you want to sell at a price higher than the current price.
Buy Stop	An order to buy a stock once its price reaches a particular point above the current market price. Once activated, it becomes a market or limit order. Place when you expect the stock price to keep rising after reaching a certain level.
Sell Stop	An order to sell a stock once its price reaches a specific level below the current market price. Once activated, it becomes a market or limit order. Place when you want to limit losses by selling if the price drops to a certain level.

Practice questions

Here you will be asked some M/C questions using the knowledge covered in this section.

- What are the 3 types of Securities
 - Equity, Debt, Hybrid
 - Financial Derivatives, Stocks, Bonds
 - Equity, Derivatives, Bonds
 - Hybrid, Equity, Stocks
- A Bull market is when...
 - The economy that is receding, where most stocks are declining in value.
 - The market is on the rise and the economy is sound.
 - The economy is stagnant and stable
 - None of the above
- Bonds give...
 - You ownership in the company
 - A regular return
 - A safe investment
 - B and C
- Common stocks...
 - Do not have voting rights
 - Can pay dividends
 - Have interest
 - Have better p/e ratios than preferred stock
- Risk tolerance is...
 - Financial
 - Mental/emotional
 - Physical
 - A and B
- Low risk investments include...
 - Stocks
 - Collectables
 - Financial derivative
 - Bonds
- Cyclical stocks ...
 - Are dependent on consumer disposable income
 - Do well in a struggling economy
 - Are better than blue chip stocks

- d. Are also considered growth stock
- 8. A bear trap is...
 - a. A metal contraption that slams closed when under pressure
 - b. A economic stage when the price is believed to be going down
 - c. A economic stage when the price is believed to be going up
 - d. None of the above
- 9. A stock can be a...
 - a. Blue chip
 - b. Growth
 - c. Value
 - d. Cyclical
 - e. All of the above
- 10. Futures have...
 - a. The obligation to sell or buy an asset at a later date at an agreed-upon price
 - b. The right, but not the obligation, to buy or sell an underlying asset at an agreed-upon price and date.
 - c. Endless possibilities.
 - d. None of the above.

Real Estate Investments

If you've spent any time on finance social media you would have seen the widespread approval for real estate as a wealth building strategy. Real estate as a physical asset gains value when it appreciates and can generate a cash flow through renting. Here are the basics of real estate investing.

1. Rental properties: This is the owning of property for the purpose of renting to a tenant. The initial investment is a downpayment and money to renovate the property. Many expenses are tax deductible and the rent can cover the mortgage with any left over as profit for the investor. However, costs such as maintenance, vacancies and refusal or late rent can cost the investor. Rental properties can snowball as an investment through refinancing where you can leverage the existing properties appreciation and cash flow for more debt to buy more properties. You can outsource the management of your properties however that adds additional cost, so do remember it is hands on.
2. Real Estate Investment Groups (REIGs): Imagine a mutual fund for real estate where investors pool their money and the fund management buys properties and manages them for a percentage of the rent income. Like mutual funds, the risk of poor management can cut into profits.
3. House Flipping: This involves finding undervalued properties and then aim to resell it quickly. 2 strategies exist for house flipping, the first is buying a cheap property to renovate then resell after appreciation in value from the renovation, and the second is finding properties that are undervalued but whose real value goes unnoticed. This second strategy requires the experience and sales skills to spot then sell the property, imagine a rundown building in a location that is getting a big business nearby that will generate more business traffic to the area. Knowing this you buy the undervalued property and then convince another buyer of its potential using that knowledge. It can be considered risky as you may be stuck holding property if you can't resell it.
4. Real Estate Investment Trusts (REITs): This is an investment that gives your portfolio exposure to the real estate market. The specific structure has the corporation listed on a stock exchange with the requirement that 90% of its taxable profits (pre-tax

profit) must be paid as dividends to the investor to maintain its REIT status. It is beneficial as it can give investors access to non residential properties such as malls or office buildings.

Chapter 2: Budgeting and Saving

Introduction

The cornerstone of financial literacy is budgeting and saving. Although increasing your income to greater and greater levels should be a goal, realistically this is not feasible for 99% of people and most people will reach a ceiling. 100% of people can budget and save though hence why budgeting and saving is key to financial growth. While increasing income is important if you don't budget and save, lifestyle creep can eat away at any new income you make. Let's first go over lifestyle creep using the table below using some simplified numbers.

Year 1	Jim	Pauline
Year 1 Income	\$80,000	\$70,000
Year 1 Expenses	\$40,000	\$40,000
Yearly savings after (Income - Expense)	\$40,000	\$30,000
Total Savings	\$40,000	\$30,000

We can see that in year 1 Jim has a higher income than Paul but their expenses are the same. Let's say Jim is our lifestyle upgrader, they will buy a new car that has more maintenance, buy more expensive things, go out more and more. Paul is our diligent budgeter and saver. Let's say Jim is given a \$10,000 raise, and Paul does as well.

Year 2	Jim	Pauline
Year 2 Income	\$90,000	\$80,000
Year 2 Expenses	\$50,000	\$40,000
Yearly savings after (Income - Expense)	\$40,000	\$40,000
Total Savings	\$80,000	\$70,000

Let's say the same thing occurs with another \$10,000 raise.

Year 3	Jim	Pauline
Year 3 Income	\$100,000	\$90,000
Year 3 Expenses	\$60,000	\$40,000
Yearly savings after (Income - Expense)	\$40,000	\$50,000
Total Savings	\$120,000	\$120,000

What we are seeing is that as Paul budgets and lives on the same amount of expenses he's able to grow his savings exponentially saving more each year. Jim although he continues to make more than Paul his expenses also have grown as Jim likes to live life carefree. Jim's lifestyle is eating away at any increases in income he makes. While Jim still saves his wealth will not grow at the same rate as Paul especially if we consider investing.

Let's take the same scenario and add investing into the mix. Let's assume both invest and get a 10% return on their investment. Let's say both invest half of their yearly savings

Year 1	Jim	Pauline
Year 1 Income	\$80,000	\$70,000
Year 1 Expenses	\$40,000	\$40,000
Yearly savings after (Income - Expense)	\$40,000	\$30,000
Total Savings	\$20,000	\$15,000
Investing Portfolio (10% return), (Principal + Return)	$0.1 \times \$20,000 = \2000	$0.1 \times \$15,000 = \1500

So we add the new savings...

Year 2	Jim	Pauline
Year 2 Income	\$90,000	\$80,000
Year 2 Expenses	\$50,000	\$40,000
Yearly savings after (Income - Expense)	\$40,000	\$40,000
Total Savings	\$40,000	\$35,000
Investing Portfolio (10% return), (Principal + Return)	$0.1 * (\$22,000 + \$20,000) = \$4200$	$0.1 * (\$16,500 + \$20,000) = \$3650$

Again we reinvest...

Year 3	Jim	Pauline
Year 3 Income	\$100,000	\$90,000
Year 3 Expenses	\$60,000	\$40,000
Yearly savings after (Income - Expense)	\$40,000	\$50,000
Total Savings	\$60,000	\$60,000

Investing Portfolio (10% return), (Principal + Return)	$0.1 \times (46,200 + \$20,000) = \6620	$0.1 \times (\$40,150 + \$25,000) = \$6515$
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So we see here that Jim continues to invest and that he sees gains because he started with a higher principal and is able to compound his investment, higher than Paul but Paul is able to keep investing more and more and is catching up. So let's look at year 4.

Year 4	Jim	Pauline
Year 4 Income	\$110,000	\$100,000
Year 4 Expenses	\$70,000	\$40,000
Yearly savings after (Income - Expense)	\$40,000	\$60,000
Total Savings	\$80,000	\$90,000
Investing Portfolio (10% return), (Principal + Return)	$0.1 \times (\$52,820 + \$20,000) = \$7282$	$0.1 \times (\$46,665 + \$30,000) = \$7666.5$

So what we see is that Paul is able to surpass Jim in investments and savings by keeping his expenses the same regardless of his income increasing. In the real world your income is not going to be jumping 10,000 each year but the more you save the more you can invest and build wealth.

Budgeting

Budgeting is the division of income into various uses. Before you can start saving you need to set up your budget, as how much you save is dependent on how much you allocate to saving in the budget. When setting up a budget there are a number of things you will need to consider.

1. Time: the length of time is important both in the budgetary periods (daily, weekly, monthly, etc) and time you plan to commit this budget. There may be times when you need a stricter budget or you can be looser so it can be adjusted.
2. Income: Income sets the limit and amount of money you have to operate with. This could be parents sending you a weekly amount, living off saved money, income from a job, or any number of income streams and combinations.
3. Expenses: the amount of money you'll be spending to live life, some will be to keep you alive like food or shelter, others will be to enjoy life like netflix or video games.
4. Debt: these will have principals you need to pay down alongside interest. Paying off debt will open up your budget limits.

With these in mind you can begin to craft a budget. There are several budget ratios out there such as the 50-30-20 rule however you should be basing your budget on what suits you the best. If you have debt you should aim to pay that off immediately.

The 50-30-20 rule:

The 50-30-20 rule refers to dividing your post-tax income into 50% on needs, 30% on wants, and 20% on savings. Needs include bills, debt, insurance and other necessary expenses. Wants include personal care like the gym or makeup, entertainment, hobbies, or subscriptions. Savings includes retirement, investing, savings, and emergency funds.

Let's look at an example of University student living away from home using a **monthly** budget. We will keep it simple for this example and use some made up numbers .

Income	
Source	Amount
Money from parents	\$300
Part time job	20 hours a week at 16.55 = 331 So \$1434.33
OSAP loan	\$510 per week so \$2210
scholarship \$2,700	\$2,700 one time, so \$225

Expenses	
Source	Amount
Groceries	\$300
Gas	\$250
Fun money	\$150
School supplies	\$100
Insurance	\$250
Rent (Utilities include)	\$2200

Debt	
Source	Amount
Car loan	- Principal: \$33,895.80 - Interest: 8.24% - Length 72 months \$598.28 a month car payment.

As a university student your priority is to avoid building as much debt as possible. Now depending on your financial situation this can be very possible and in others may not be. Certain loans like the Ontario Student Assistance Program (OSAP), Grants, or scholarships can help reduce cost and keep you in a relatively low debt scenario. Student loans require repayment after schooling and a grace period. So let's go back to our example.

Budget (Monthly)	
Income	\$4069.33
Expenses + Debt	\$3848.28
Net gain or loss (Income - Total Expenses)	\$221.05

We see here that we have a net positive in our budget, however this small monthly positive can be eaten if the expenses grow. This example made some assumptions such as phone and internet being covered by parents, and no subscriptions such as netflix. This is also an example of lifestyle creep where if we add additional expenses/wants the net gain could become a loss or neutral.

Savings

In Canada there are a number of saving plans you can use to save money for a particular financial goal. The most basic of which is the high yield savings account where money put in grows through interest. However this is not the ideal account if you aim for certain goals. Other accounts can do that better and we will cover those below.

Saving Plans	
Registered Retirement Savings Plan (RRSP)	- lets you save or invest for your retirement - Contributions are usually deductible and can help reduce your income tax. The amount you can contribute to an RRSP depends on your work income. - Any money you earn in the RRSP is usually exempt from tax while it remains in the plan. However, you generally have to pay tax when you cash in, make withdrawals, or receive payments. - You can also borrow from your RRSP to buy your first home or pay for your education. You can take out up to \$35,000 for a down payment for your first home under the Home Buyers' Plan (HBP). - You can also take out up to \$20,000 to pay education costs for you or your spouse under the Lifelong Learning Plan (LLP). You won't pay any tax on these withdrawals as long as you pay the money back within the specified time periods. In the year you turn 71 years old, you have to choose one of the following options for your RRSPs: - Lump-sum withdrawal. This withdrawal would be subject to withholding tax and must be included in income when you file your taxes. - Transfer them to a RRIF. - Use them to purchase an annuity.

Registered Retirement Income Fund (RRIF)	• An account you open when you transfer money from your Registered Retirement Savings Plan. You must convert your RRSPs to a RRIF before the end of the year you turn 71 years old • Your money will continue to grow tax-free as long as it stays in the RRIF. You only pay tax on the withdrawals you make. • with a RRIF you are not able to add additional money to the account once your RRSP has been converted to a RRIF. Once your RRIF is set up, you must take out a minimum amount each year. This amount increases as you get older. There is no maximum withdrawal limit.
Tax Free Savings Account (TFSA)	• The TFSA is a way for individuals who are 18 years of age or older to set money aside tax-free throughout their lifetime. • Contributions to a TFSA are not deductible for income tax purposes. Any amount contributed as well as any income earned in the account (for example, investment income and capital gains) is generally tax-free, even when it is withdrawn. • You can save tax free for any goal you want such as a car, home, vacation or your retirement. If you take money out, you can re-contribute it the following year, in addition to the annual maximum. • The maximum amount that you can contribute to your TFSA is limited by your TFSA contribution room. It is important to know your contribution room so that you don't over contribute to your account and receive penalty taxes. All TFSA contributions made during the year, including the replacement or re-contribution of withdrawals made from a TFSA, will count against your contribution room. • Login into your Canada Revenue Agency (CRA) account to see your TFSA contribution room.
Registered Education Savings Plan (RESP)	• An account used to save for college or university education. Parents often invest in RESPs for their children's education. • RESPs have key benefits when saving for a child's education including government grants and tax deferred growth • The federal government adds to your RESP contributions through the Canada Education Savings Grant. Unlike Registered Retirement Savings Plans (RRSPs), you can't deduct RESP contributions from your taxes. But money earned inside the account is usually exempt from tax until it is withdrawn.
First Home Savings Account (FHSA)	• A type of registered savings plan for Canadians saving to buy their first home. Canadian residents aged 18 years or older can open an FHSA to save towards the purchase of a home in Canada • In order to be considered a first-time home buyer for the FHSA, at the time the you withdraw money for a home purchase, you must have not resided in a home you owned, in the previous four calendar years. • You can save up to \$40,000 in an FHSA. You can contribute up to \$8,000 per year. Your contribution room carries forward to the next year if it hasn't all been used. • Once you open the FHSA, you can use it for up to 15 years. After that time, it must be closed. If you don't buy a home, any unused savings in your FHSA may be transferred to an RRSP. It can also be withdrawn as taxable income.

Registered Disability Savings Plan (RDSP)	• Allows people with disabilities who are eligible for the Disability Tax Credit and their families to save for their future. • The beneficiary of the plan must be eligible for the Disability Tax Credit. Government grants add to your savings and your investments grow tax-free. • Contributions to an RDSP are not tax deductible and can be made until the end of the year in which the beneficiary turns 59. • There is no annual contribution limit for an RDSP but there is a lifetime contribution limit. These savings plans typically hold Canada disability savings grants and bonds, which are only available to disabled persons, as well as other investment products
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Practice questions

Here you will be asked some M/C questions using the knowledge covered in this section.

1. What is lifestyle creep?
 - a. Somebody who creeps on you
 - b. The act of gaining more money than your expenses
 - c. The act of your expenses rising with your income**
 - d. The act of your expenses out pacing income.
2. When budgeting in order of highest proportion to lowest should your income be divided?
 - a. Needs, savings, wants
 - b. Needs, wants, savings**
 - c. Debt, expenses, savings
 - d. None of the above
3. A Registered Education Savings Plan (RESP)...
 - a. Helps save for a child's education
 - b. Has government contributions
 - c. Is tax exempt until withdrawal
 - d. All of the above**
4. A First Home Savings Account (FHSA)...
 - a. A max of \$32,000
 - b. Contribution limit of \$8000 a year
 - c. May be transferred to an RRSP
 - d. B and C**
5. A Tax Free Savings Account (TFSA)...
 - a. Money is tax free when withdrawn
 - b. Money earned inside is tax free
 - c. CRA tells you your max contribution limit
 - d. All of the above**
6. The 50-30-20 rule says...
 - a. 50% on needs, 30% on wants, and 20% on savings**
 - b. 50% on savings, 30% on needs, and 20% on wants
 - c. 50% on wants, 30% on needs , and 20% on savings
 - d. None of the above
7. A Registered Retirement Savings Plan (RRSP)...
 - a. Contributions are usually deductible and can help reduce your income tax
 - b. RRSP money can be used for education cost and buying your first home
 - c. For individuals who are 18 years of age or older to set money aside tax-free throughout their lifetime.

d. A and B

8. When making a budget you should consider...

- a. Time
- b. Debt + Expenses
- c. Income
- d. All of the above

Chapter 3: Credit and Debt

Introduction

Credit and debt are the backbone of the modern economy. The famous “buy now, pay later” mindset is fueled by credit and debt. Credit is short term debt while debt refers to the act of owing money. Some of you may be in debt to your friends who you owe money for food, bus, gas, or whatever else, however what changes from your social debts to real financial debt is interest. Your friends may not charge interest but financial institutions will hence we must begin with interest.

Definition of Interest

Interest is payment from a borrower or deposit-taking financial institution to a lender or depositor of an amount above repayment of the principal sum, at a particular rate.

Examples of interest:

- You deposit money in a bank, you are paid interest by the bank because you are a lender to the bank.
- If you use a credit card you owe money on the credit you borrowed and if you don't pay on time you are required to pay interest.
- If you borrow money for a house you must pay interest on the mortgage, alongside payments to lower the debt.

3 Types of Interest

Simple Interest

Simple Interest is based on the original principal amount of a loan or deposit. Meaning the interest is based solely on the loan or deposit. Simple interest is calculated using the formula of:

$$\text{Interest} = (\text{Principal}) \times (\text{Interest Rate}) \times (\text{Time in Years})$$

Example:

Let's say that you are borrowing \$10,000 from Bank A to finance an automobile purchase. It's a simple interest loan with a rate of 5% and a term of 5 years.

The amount of interest that you'll owe is:

$$\$10,000 \times .05 \times 5 = \$2,500$$

The total amount that you'll pay the lender will be:

$$\$10,000 + \$2,500 = \$12,500$$

Compound Interest

Compound interest is based on the principal amount and the interest that accumulates on it in every period. The more frequently interest is compounded quarterly, monthly, or even daily the greater the total amount of payments in the long run.

A= Future Value

P= Principal

r= Interest rate

n= number of times compounded in one time period

T=time

$$A=P(1+r/n)^{nt}$$

This time, you take out a compound interest loan from Bank A. The essential terms are the same: a \$10,000 loan, 5% interest rate, and a term of five years.

In this case, the amount of interest that you'll owe is:

$$\$10,000 \times (1 + .05)^5 - \$10,000 = \$2,762.82$$

The total amount that you'll pay the lender will be \$12,762.82.

Continuously Compounding Interest

A formula for loan interest where the balance grows continuously over time, rather than being computed at discrete intervals.

It is a theoretical concept that can't be achieved in reality as continuously compounded interest assumes interest is compounded and added back into the balance an infinite number of times.

Why Simple vs Compound Interest Matters

Compound interest is common in **business** transactions, investments, and financial products (such as credit cards) intended to extend for multiple periods or years. Simple interest is used for loans of a **single period** or less than a year. Personal loans, including student loans and auto loans, and home mortgages also use simple interest.

Most credit card companies charge interest on a daily, not monthly or yearly, basis. This **compounds each day** and you won't touch the principle until you pay down the interest. And there begins the **debt cycle**. Credit cards APR (Annual Percentage Rate) gives you the **approximate percentage** you will pay in interest over the course of one year. However, most credit cards compound interest on a daily basis. Compound interest basically means that interest charges are added to the principal borrowed so you are then **paying interest on the interest** and the debt very quickly grows.

Credit Card Example

You have \$5,000 on your credit card, and your APR is 19%.

This means the daily interest rate is 0.052% (19%/365 days).

Multiply \$5,000 by 0.052% and you get \$2.60. This means your interest is \$2.60 on the first day. Doesn't seem so bad you might say.

However on the second day, your balance is now \$5002.60, so on the second day, you pay 0.052% on the new balance of \$5002.60 and so on and so forth. You would keep paying interest on the interest until you had paid it off.

The balance is getting larger each day of compounding interest. Take this simple question of compounding a penny.

Question:

Is it better to have a single penny that doubles everyday for a month, versus \$1 million up front.

Answer:

Because of the power of compound interest. If you took a single penny and doubled it everyday, by day 30, you would have \$5,368,709.12.

Credit Scores

A credit score is a 3 digit number that represents how likely a credit bureau thinks you are to pay your bills on time. Building a good credit score helps you get approved for loans on larger purchases such as a home or access to more competitive interest rates. There are two main credit bureaus in Canada: Equifax and TransUnion. You can usually find your credit score through logging into your bank account and being redirected to one of them. Your credit score represents your debt repayment reputation, if you can't repay a credit card how will you repay a mortgage on a house that's how the lenders view it.

According to Equifax, a good credit score is usually between 660 to 724. If your credit score is between 725 to 759 it's likely to be considered very good. A credit score of 760 and above is generally considered to be an excellent credit score. The credit score range is anywhere between 300 to 900. ***The higher your score, the better your credit rating.*** Your credit score helps lenders to assess your credit capacity. ***The higher your score, the more likely you are to get approved for loans and credit.*** It may also be checked when applying to rent a property.

Your credit history is a record of your debt repayments on credit cards, loans and lines of credit. Your credit score will increase if you manage credit responsibly and decrease if you have trouble managing it. Late payments will hurt your score so aim to pay on time.

Building your Credit Score

1. Establish credit history by getting a credit card and using it for things you would buy anyway such as groceries. You can access and view your credit history by obtaining a credit report through a credit bureau. You're able to request a free copy of your credit report every 12 months from Equifax and Transunion with no impact on your credit score. You can order the report by phone, email and online.
2. Try to pay your bills on time and in-full in order to maintain a good repayment history and improve your score. If you can't pay the full bill, aim to meet the minimum payment. Contact your lender if you think you'll have trouble paying your bill.
3. Don't apply for credit or switch credit cards too often. Make an effort to keep your total debt in check and don't let small balances add up.

A key part of Credit building is your ***debt-to-credit ratio***, also known as your ***utilisation ratio***, is the amount of your debt compared to your credit limit. Your debt-to-credit

ratio is important because if your ratio is high, it can indicate that you're a higher-risk borrower. That's because lenders see borrowers who use a lot of their available credit as a greater risk. For example, imagine you have a couple of credit cards and a line of credit with a total debt of \$14,000 and a combined limit of \$20,000. Your debt-to-credit ratio would be 70%. According to the Government of Canada, a ratio of **35% or below** on credit cards, loans and lines of credit is recommended.

Debt Management

Debt is a key part of our financial ecosystem whether you like it or not. Now debt can be a powerful tool that allows you to access something when you need it without having the necessary funds. However many people end up with a long list of debts with interest payments that destroy their finances.

Certain Debts such as Home mortgage and car loan are typically the largest and longest loans a person will have. Most young adults will not have the funds to purchase a house outright or a car, but to progress in life you'll need your own home and vehicle. However many people struggle to manage their debts as the list of payments increases and their ability to save and create a financial egg decreases.

Identify Debt and Smack it Down

1. Make a list of all your outstanding debts. Include the interest rate on each so you'll be able to determine which ones are causing you the most financial pain.
2. Check your credit report for forgotten outstanding debt.
3. Consolidate when possible, If you have multiple high-interest loans, can you consolidate them into one loan with a lower interest rate
4. Once you've consolidated, determine how much you have to pay each month by noting the minimum payments and put the total into your budget.
5. Once you have the baseline of how much you have to pay each month in your budget, determine how much extra from your budget you can devote to debt reduction.
6. Check your expenses and see where you can cut, go scorched earth and slim down.

The two most popular strategies for debt management are:

1. To pay off balances with the highest interest rates first.
2. To pay off the lowest balances first.

The former will save you more money over the long run, but the latter can help you keep momentum and see progress.

Practice questions

Here you will be asked some M/C questions using the knowledge covered in this section.

1. Simple interest does not...
 - a. Sees the interest grow over time
 - b. Sees the interest remain the same over time
 - c. Is used for business transactions such as credit cards
 - d. A and C
2. A credit score ...
 - a. Ranges from 300 to 900
 - b. When higher can get you lower interest rates
 - c. Represents your debt repayment reputation
 - d. All of the above
3. Compound Interest is...
 - a. Based on the principal amount and the interest accumulated added on

- b. Used in business transactions such as credit cards
 - c. Better than simple interest
 - d. A and B
- 4. Debt-to-credit ratio is
 - a. Also known as utilisation ratio
 - b. Ideally kept at 35% or lower
 - c. Used by lenders to determine risk
 - d. All of the above
- 5. The popular strategies for debt management are...
 - A - To pay off balances with the highest interest rates first
 - B - To pay off the lowest balances first
 - C - To pay off the highest balance first
 - D - To pay off the balances with the lowest interest rate
 - a. A and B
 - b. B and C
 - c. C and D
 - d. A and D
- 6. When trying to manage debt you should
 - a. Aim to consolidate debt at a lower interest rate
 - b. Only pay the minimum amount
 - c. Keep expenses the same
 - d. None of above

Chapter 3: Tax Filings

Introduction

You have probably heard your parents or other people talk about taxes, most likely complaining about how high they are. Taxes are a compulsory financial charge or some other type of levy imposed on a taxpayer by a governmental organisation to:

1. collectively fund government spending
2. public expenditures
3. regulate and reduce negative externalities or behaviours

Examples of taxes:

- Federal Goods and Services Tax (GST) (collectively fund government spending)
- Harmonised Sales Tax (HST) (collectively fund government spending)
- Property tax (public expenditures)
- Carbon taxes (regulate and reduce negative externalities)
- The alcohol excise tax (regulate and reduce negative externalities)
- Income tax (collectively fund government spending)

Taxes in Canada are collected by the Canada Revenue Agency or CRA. CRA recommends you file a return even if you do not earn any money. If you don't file your taxes, you may miss out on free money. Some payouts you may be eligible for include: Canada Child Benefit, GST/HST credit, and Guaranteed income supplement. Employed individuals have the same payment and file date: April 30 (if this falls on a weekend, the tax deadline is the next business day). That's because their taxes usually get taken off at the source, on each paycheque, so their tax calculation is simpler. The CRA charges a fee for late filers — 5% of your balance owed plus an additional 1% for each month late (to a maximum of 12 months). What you need as an Employee when filing your taxes are: Your Social Insurance Number (SIN), TD1 form, Pay stub, and T4 slip.

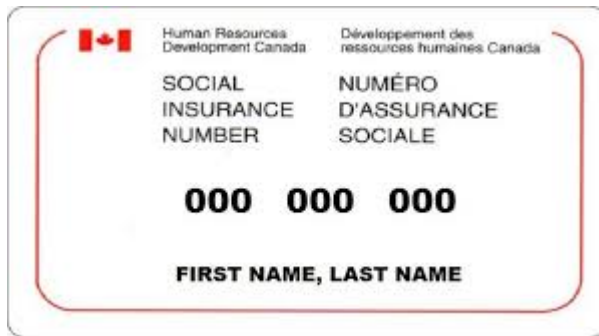
Social Insurance Number (SIN)

A 9-digit identification number you need to work in Canada. Your SIN allows you to receive benefits and services from the Government of Canada. The federal organisation that

issues SINs is Service Canada.

The first digit of their SIN is typically associated with their province or territory of residence when they first applied for their SIN.

A temporary SIN is issued to visitors, permit holders, refugees, and temporary workers who are legally entitled to work in Canada. These numbers begin with a 9 and have an expiry date.



TD1 Form



Canada Revenue
Agency

Agence du revenu
du Canada

2024 Personal Tax Credits Return

Protected B when completed

TD1

Read page 2 before filling out this form. Your employer or payer will use this form to determine the amount of your tax deductions.

Fill out this form based on the best estimate of your circumstances.

If you do not fill out this form, your tax deductions will only include the basic personal amount, estimated by your employer or payer based on the income they pay you.

Last name	First name and initial(s)	Date of birth (YYYY/MM/DD)	Employee number
Address		Postal code	For non-residents only Country of permanent residence
			Social insurance number

1. Basic personal amount – Every resident of Canada can enter a basic personal amount of \$15,705. However, if your net income from all sources will be greater than \$173,205 and you enter \$15,705, you may have an amount owing on your income tax and benefit return at the end of the tax year. If your income from all sources will be greater than \$173,205 you have the option to calculate a partial claim. To do so, fill in the appropriate section of Form TD1-WS, Worksheet for the 2024 Personal Tax Credits Return, and enter the calculated amount here.

2. Canada caregiver amount for infirm children under age 18 – Only one parent may claim \$2,616 for each infirm child born in 2007 or later who lives with both parents throughout the year. If the child does not live with both parents throughout the year, the parent who has the right to claim the "Amount for an eligible dependant" on line 8 may also claim the Canada caregiver amount for the child.

3. Age amount – If you will be 65 or older on December 31, 2024, and your net income for the year from all sources will be \$44,325 or less, enter \$8,790. You may enter a partial amount if your net income for the year will be between \$44,325 and \$102,925. To calculate a partial amount, fill out the line 3 section of Form TD1-WS.

4. Pension income amount – If you will receive regular pension payments from a pension plan or fund (not including Canada Pension Plan, Quebec Pension Plan, old age security, or guaranteed income supplement payments), enter **whichever is less**: \$2,000 or your estimated annual pension income.

5. Tuition (full-time and part-time) – Fill in this section if you are a student at a university or college, or an educational institution certified by Employment and Social Development Canada, and you will pay more than \$100 per institution in tuition fees. Enter the total tuition fees that you will pay if you are a full-time or part-time student.

6. Disability amount – If you will claim the disability amount on your income tax and benefit return by using Form T2201, Disability Tax Credit Certificate, enter \$9,872.

7. Spouse or common-law partner amount – Enter the difference between the amount on line 1 (line 1 plus \$2,616 if your spouse or common-law partner is **infirm**) and your spouse's or common-law partner's estimated net income for the year if **two** of the following conditions apply:

- You are supporting your spouse or common-law partner who lives with you
- Your spouse or common-law partner's net income for the year will be less than the amount on line 1 (line 1 plus \$2,616 if your spouse or common-law partner is **infirm**)

In all cases, go to line 9 if your spouse or common-law partner is **infirm** and has a net income for the year of \$28,041 or less.

8. Amount for an eligible dependant – Enter the difference between the amount on line 1 (line 1 plus \$2,616 if your eligible dependant is **infirm**) and your eligible dependant's estimated net income for the year if **all** of the following conditions apply:

- You do **not** have a spouse or common-law partner, or you **have** a spouse or common-law partner who does not live with you and who you are not supporting or being supported by
- You are supporting the dependant who is related to you and lives with you
- The dependant's net income for the year will be less than the amount on line 1 (line 1 plus \$2,616 if your dependant is **infirm** and you **cannot** claim the **Canada caregiver amount for infirm children under 18 years of age** for this dependant)

In all cases, go to line 9 if your dependant is **18 years or older, infirm**, and has a net income for the year of \$28,041 or less.

9. Canada caregiver amount for eligible dependant or spouse or common-law partner – Fill out this section if, at any time in the year, you support an **infirm** eligible dependant (aged 18 or older) or an **infirm** spouse or common-law partner whose net income for the year will be \$28,041 or less. To calculate the amount you may enter here, fill out the line 9 section of Form TD1-WS.

10. Canada caregiver amount for dependant(s) age 18 or older – If, at any time in the year, you support an **infirm** dependant age 18 or older (**other than** the spouse or common-law partner or eligible dependant you claimed an amount for on line 9 or could have claimed an amount for if their net income were under \$18,321) whose net income for the year will be \$19,666 or less, enter \$8,375. You may enter a partial amount if their net income for the year will be between \$19,666 and \$28,041. To calculate a partial amount, fill out the line 10 section of Form TD1-WS. This worksheet may also be used to calculate your part of the amount if you are sharing it with another caregiver who supports the same dependant. You may claim this amount for more than one infirm dependant age 18 or older.

11. Amounts transferred from your spouse or common-law partner – If your spouse or common-law partner will not use all of their age amount, pension income amount, tuition amount, or disability amount on their income tax and benefit return, enter the unused amount.

12. Amounts transferred from a dependant – If your dependant will not use all of their disability amount on their income tax and benefit return, enter the unused amount. If your or your spouse's or common-law partner's dependent child or grandchild will not use all of their tuition amount on their income tax and benefit return, enter the unused amount.

13. TOTAL CLAIM AMOUNT – Add lines 1 to 12.

Your employer or payer will use this amount to determine the amount of your tax deductions.

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Filling out Form TD1

Fill out this form **only** if any of the following apply:

- you have a new employer or payer, and you will receive salary, wages, commissions, pensions, employment insurance benefits, or any other remuneration
- you want to change the amounts you previously claimed (for example, the number of your eligible dependants has changed)
- you want to claim the deduction for living in a prescribed zone
- you want to increase the amount of tax deducted at source

Sign and date it, and give it to your employer or payer.

More than one employer or payer at the same time

☐ If you have more than one employer or payer at the same time and you have already claimed personal tax credit amounts on another Form TD1 for 2024, you **cannot** claim them again. If your total income from all sources will be more than the personal tax credits you claimed on another Form TD1, check this box, enter "0" on Line 13 and do not fill in Lines 2 to 12.

Total income is less than the total claim amount

☐ Tick this box if your total income for the year from **all** employers and payers will be **less** than your total claim amount on line 13. Your employer or payer will not deduct tax from your earnings.

For non-resident only (Tick the box that applies to you.)

As a non-resident, will 90% or more of your world income be included in determining your taxable income earned in Canada in 2024?

☐ Yes (Fill out the previous page.)

☐ No (Enter "0" on line 13, and do not fill in lines 2 to 12 as you are not entitled to the personal tax credits.)

Call the international tax and non-resident enquiries line at **1-800-959-8281** if you are unsure of your residency status.

Provincial or territorial personal tax credits return

You also have to fill out a provincial or territorial TD1 form if your claim amount on line 13 is more than \$15,705. Use the Form TD1 for your province or territory of **employment** if you are an employee. Use the Form TD1 for your province or territory of **residence** if you are a pensioner. Your employer or payer will use both this federal form and your most recent provincial or territorial Form TD1 to determine the amount of your tax deductions.

Your employer or payer will deduct provincial or territorial taxes after allowing the provincial or territorial basic personal amount if you are claiming the basic personal amount **only**.

Note: You may be able to claim the child amount on Form TD1SK, 2024 Saskatchewan Personal Tax Credits Return if you are a Saskatchewan resident supporting children under 18 at any time during 2024. Therefore, you may want to fill out Form TD1SK even if you are **only** claiming the basic personal amount on this form.

Deduction for living in a prescribed zone

You may claim any of the following amounts if you live in the Northwest Territories, Nunavut, Yukon, or another prescribed **northern** zone for more than six months in a row beginning or ending in 2024:

- \$11.00 for each day that you live in the prescribed northern zone
- \$22.00 for each day that you live in the prescribed northern zone if, during that time, you live in a dwelling that you maintain, and you are the only person living in that dwelling who is claiming this deduction

Employees living in a prescribed **intermediate** zone may claim 50% of the total of the above amounts.

For more information, go to canada.ca/taxes-northern-residents.

\$

Additional tax to be deducted

You may want to have more tax deducted from each payment if you receive other income such as non-employment income from CPP or QPP benefits, or old age security pension. You may have less tax to pay when you file your income tax and benefit return by doing this. Enter the additional tax amount you want deducted from each payment to choose this option. You may fill out a new Form TD1 to change this deduction later.

\$

Reduction in tax deductions

You may ask to have less tax deducted at source if you are eligible for deductions or non-refundable tax credits that are not listed on this form (for example, periodic contributions to a registered retirement savings plan (RRSP), child care or employment expenses, charitable donations, and tuition and education amounts carried forward from the previous year). To make this request, fill out Form T1213, Request to Reduce Tax Deductions at Source, to get a letter of authority from your tax services office. Give the letter of authority to your employer or payer. You do not need a letter of authority if your employer deducts RRSP contributions from your salary.

Forms and publications

To get our forms and publications, go to canada.ca/cra-forms-publications or call 1-800-959-5525.

Personal information (including the SIN) is collected and used to administer or enforce the Income Tax Act and related programs and activities including administering tax, benefits, audit, compliance, and collection. The information collected may be disclosed to other federal, provincial, territorial, aboriginal or foreign government institutions to the extent authorized by law. Failure to provide this information may result in paying interest or penalties, or in other actions. Under the Privacy Act, individuals have a right of protection, access to and correction of their personal information, or to file a complaint with the Privacy Commissioner of Canada regarding the handling of their personal information. Refer to Personal Information Bank CRA PPU 120 on Information about Programs and Information Holdings at canada.ca/cra-information-about-programs.

Certification

I certify that the information given on this form is correct and complete.

Signature _____

Date _____

It is a serious offence to make a false return.

Common occurrences when filling out your TD1

You will be asked to fill out a TD1 form every time you start a job with an employer. **If you work for more than one employer** at the same time, you can only claim amounts such as the **basic personal amount** on **one of the TD1 forms** you fill out. Otherwise, your employer will not deduct enough tax from the income they pay you compared to your total income. This could mean that you end up owing a lot of money when you file your income tax and benefit return. If your total income from all sources will be more than the personal tax credit amounts you've already claimed, you should enter 0 on line 13 of the first page of the latest TD1, and tick the box "More than one employer at the same time" on the second page. If your total income from all sources will be less than your total claim amount, you may not owe any tax. In this situation, your employer does not need to deduct tax from your pay. Tick the box "Total income less than total claim amount" on the second page of the TD1 form.

Paystub

Your employer will deduct money from your pay, and send it to the Canada Revenue Agency (CRA) on your behalf. They do this calculator based on your TD1 form.

Regular income tax deductions are to cover the income tax you might owe for the year. Any of this tax that you do not owe will be refunded to you after you complete an income tax and benefit return for the year.

Your employer must also deduct other amounts from your pay, including:

- Canada Pension Plan (CPP) or Quebec Pension Plan (QPP) contributions
- Employment insurance (EI) premiums

These amounts are calculated based on a percentage of your income. Your employer is also required to contribute a certain amount for CPP or QPP and EI in your name.

CASEY'S BAKERY

123 Address Street, NL, Canada

STATEMENT OF EARNINGS**Jonah Smith**

Employee ID	Pay period ending:	Pay date:	Cheque number:
00123456789	2021/07/31	2021/08/07	0075321

Earnings	Hours	Rate	Current Amount	Deductions	Current Amount	Year-to-date
001 Basic Pay	75.00	16.00/hr	1,200.00	Income Tax	147.32	2,209.80
				EI	18.96	284.40
				CPP/QPP	58.04	870.90
				Union Dues	15.75	235.25
				Health Insurance	5.10	76.50
				Pension Plan	45.00	675.00

Summary	Gross Pay	Deductions	Net Pay
Current	1,200.00	290.19	909.81
Year-to-date	18,000.00	4,352.85	13,647.15

T4 Slip

A T4, Statement of Remuneration Paid, usually referred to as a T4 slip, is an important document that **each of your employers** gives you and will also send to CRA. Your T4 slip shows information about your employment income and payroll deductions for the entire calendar year. You use the information on this slip when you do your taxes.

If you compare your last pay stub received for the year to your T4 slip, you should see that the year-to-date amounts on the pay stub match the amounts shown on the T4 slip. If you notice any difference, you should speak with your employer to get the correct information before contacting the CRA.

Employer's name – Nom de l'employeur CASEY'S BAKERY		Canada Revenue Agency Agence du revenu du Canada	T4 Statement of Remuneration Paid État de la rémunération payée	
Employer's account number / Numéro de compte de l'employeur 54		Year / Année 14	Employment income / Revenu d'emploi 14 18,000.00	Income tax deducted / Impôt sur le revenu retenu 22 2,209.80
Social insurance number / Numéro d'assurance sociale 12 123456789		Province of employment / Province d'emploi 10 NL	Employee's CPP contributions – see over / Cotisations de l'employé au RPC – voir au verso 16 870.90	EI insurable earnings / Gains assurables d'AE 24 18,000.00
Employee's name and address – Nom et adresse de l'employé Last name (in capital letters) – Nom de famille (en lettres majuscules) First name – Prénom Initial – Initiale SMITH JONAH 1 Home Avenue City, Newfoundland and Labrador, X0X 0X0		Employment code / Code d'emploi 29	Employee's QPP contributions – see over / Cotisations de l'employé au RRQ – voir au verso 17	CPP/QPP pensionable earnings / Gains courants droit à pension – RPC/RRQ 26 18,000.00
		Employee's EI premiums / Cotisations de l'employé à l'AE 18 284.40	Union dues / Cotisations syndicales 44 235.25	
		RPP contributions / Cotisations à un RPA 20 675.00	Charitable donations / Dons de bienfaisance 46	
		Pension adjustment / Facteur d'équivalence 52	RPP or DPSP registration number / N° d'agrément d'un RPA ou d'un RPDB 50	
		Employee's PPIP premiums – see over / Cotisations de l'employé au RPAP – voir au verso 55	PPIP insurable earnings / Gains assurables du RPAP 56	
Other information (see over) Autres renseignements (voir au verso)		Box – Case 85 76.50	Box – Case	Box – Case

Self Employment Taxes

If you start an activity to make money, any profit you earn is considered business income. If your customers pay you directly rather than through an employer, you are self-employed. All self-employment income you earn, regardless of the amount, is taxable, and you must report it on your personal income tax and benefit return. When you're self-employed, reporting all your income is beneficial to you because it:

- increases your potential maximum amount for a mortgage or loan
- increases your Registered Retirement Savings Plan (RRSP) contribution room
- allows you to pay into the Canada Pension Plan (CPP) or the Quebec Pension Plan (QPP), which will benefit you when you retire

Common self-employment paths

- driving services such as Uber or Lyft
- working as a courier for a food delivery company like Uber Eats or DoorDash
- working in independent trades like a carpenter, contractor, electrician, mechanic, or plumber
- selling things on websites or online marketplaces like Etsy, eBay, or Amazon
- working as a freelancer, either independently or through online platforms like Clickworker, Crowdsourcing, or Fiverr
- earning revenue from brand sponsorships or ads as a social media influencer on platforms like TikTok, YouTube, or Instagram
- Barter Transaction
 - Barter Transaction Example: Jim and I participate in a barter transaction. Jim trades drywall installation services at a value of \$1,500. In exchange, I traded six hours of mechanical work. I usually charge \$150 per hour for this work to customers. Both must report the value of their services as income on their tax return. Jim will report \$1,500, and I will report \$900 (\$150 x 6).

When you work for yourself, no tax is withheld from your income. You can deduct expenses so that you pay taxes only on your net profit. You may be able to claim input tax credits for the GST/HST you pay on expenses for your self-employed business. To claim an input tax credit, the expenses must be related to your business. Some types of common input tax credits include:

- business start-up costs
- office expenses
- fuel costs
- legal fees
- rent

$(\text{Net Profit or Loss}) = \text{Income} - \text{Expenses}$

$\text{Net Profit} - \text{Tax} = \text{your take home.}$

You will need to keep track of your income and expenses and report them on your tax return using **Form T2125**, Statement of Business or Professional Activities. This form is used to calculate how much income you pay tax on.

GST/HST account:

A Canada Revenue Agency (CRA) account that allows you to begin to charge GST/HST for your business. To register for this account, you must first register for a business number with the CRA. You may also be able to claim input tax credits. Once you start

charging GST/HST, you are responsible for it until you send (remit) it to the Canada Revenue Agency (CRA).

When should you get a GST/HST account?

1. You earned less than \$30,000 during the last 4 calendar quarters (A period of 3 months beginning on the first day of January, April, July, or October in each calendar year). You are considered a small supplier and you may register voluntarily.
2. You earned more than \$30,000 during the last 4 calendar quarters. You are not considered a small supplier. You must register, charge, and remit GST/HST on amounts you earned over \$30,000.
3. You are a driver for a rideshare app (like Uber or Lyft). You are considered a taxi in Canada and must collect and remit GST/HST on all fares, regardless of the total amount you earn.

Filing Your Return

The reporting period may be monthly, quarterly, or annually depending on the total taxable sales made in the fiscal year. Your personalised GST/HST return will show your due date on the first page. You need to file a GST/HST return even if you have no business transactions, or net tax to remit.

	Canada Revenue Agency Agence du revenu du Canada	Goods and Services Tax/ Harmonized Sales Tax (GST/HST) Filing Information	Protected B when completed						
Summerside PE C1N 6A2		Page 1 of 10							
		Business Number 							
		Fiscal Year End 2019-12-31							
		0000009							
This package has information you need to file your goods and services tax/harmonized sales tax (GST/HST) returns. You can also file your returns electronically at canada.ca/taxes-business-online. Your access code to electronically file your GST/HST returns is: Access code:  To download and print working copies of your GST/HST returns, go to canada.ca/gst-hst-working-copy. List of your reporting periods and filing due dates - KEEP FOR YOUR RECORDS This is a reminder of your reporting periods and filing due dates for the fiscal year noted above. <table><thead><tr><th>Period from</th><th>Period to</th><th>Due date</th></tr></thead><tbody><tr><td>2019-01-01</td><td>to 2019-12-31</td><td>due 2020-06-15</td></tr></tbody></table>				Period from	Period to	Due date	2019-01-01	to 2019-12-31	due 2020-06-15
Period from	Period to	Due date							
2019-01-01	to 2019-12-31	due 2020-06-15							

Practice questions

Here you will be asked some M/C questions using the knowledge covered in this section.

1. If you are self-employed, when must you make a GST/HST account?
 - a. You earned more than \$30,000 during the last 4 calendar quarters
 - b. You earned less than \$30,000 during the last 4 calendar quarters
 - c. You are a driver for a rideshare app (like Uber or Lyft)
 - d. A and C
2. When preparing your taxes as an employee you need...
 - a. Your Social Insurance Number (SIN), TD1 form, Pay stub, and T4 slip.
 - b. Your Social Insurance Number (SIN), Pay stub, and T4 slip.
 - c. TD1 form, Pay stub, and T4 slip.

- d. Your Social Insurance Number (SIN), TD1 form, and Pay stub.
- 3. Types of common input tax credits include...
 - a. business start-up costs
 - b. office expenses
 - c. fuel costs
 - d. All of the above
- 4. Tax fund...
 - a. collectively fund government spending
 - b. public expenditures
 - c. regulate and reduce negative externalities or behaviours
 - d. All of the above
- 5. Federal Goods and Services Tax (GST), Harmonised Sales Tax (HST), and Income tax are examples of taxes that...
 - a. collectively fund government spending
 - b. public expenditures
 - c. regulate and reduce negative externalities
 - d. None of the above
- 6. A T4, Statement of Remuneration Paid, usually referred to as a T4 slip...
 - a. Is an important document that **each of your employers** gives you and will also send to CRA
 - b. Shows information about your employment income and payroll deductions for the entire calendar year
 - c. Shows your tax reductions for the entire calendar year that you are entitled to.
 - d. A and B
- 7. What number on your SIN
 - a. is typically associated with their province or territory of residence when they first applied for their SIN.
 - b. The first digit being 9 identifies people who are not citizens or permanent residents.
 - c. A and B
 - d. None of the above
- 8. When self-employed you file this form for taxes for keeping track of income and expenses...
 - a. Form T2125
 - b. T4 Slip
 - c. TD1 Form
 - d. Paystub
- 9. Employed individuals have the same payment and file date....
 - a. April 30
 - b. January 10
 - c. May 1
 - d. March 21
- 10. Your employer must also deduct other amounts from your pay, including...
 - a. Canada Pension Plan (CPP) contribution
 - b. Quebec Pension Plan (QPP) contribution
 - c. Employment insurance (EI) premiums
 - d. All of the above

Financial Planning: Setting Financial Goals and Planning for the Future

Introduction

This section will cover how to use all of the information we have covered in our previous workshops. We can figure out options for various financial goals. From retirement, buying a home, car, or even a vacation. When planning your goal you'll need to identify the variables that will impact that goal then determine the financial skill or instrument you need

to use. There are some basic goals that we will go over the same as in the workshop.

Scenario 1: Buying a Car

Variables:

- 1) Regular expenses such as gas and maintenance
- 2) Down Payment, interest, financing?
- 3) Is the purpose of the vehicle going to earn back some of its cost?

What strategies should we employ to get the car?

- 1) Our budget should include gas and maintenance cost whether done by yourself or at a shop.
- 2) We should aim to have a low interest rate on our debt, and we need a good credit score to get that lower rate.
- 3) Our saving strategy should reflect our budgeting and avoid risky investments as we need the money for payments so a savings accounts is best

Why this strategy?

A car is rarely considered an asset that appreciates in value, meaning that your car loses value after purchasing it due to wear and tear. However a car has regular costs that must be paid meaning a no-risk strategy is key, and its cost also are predictable.

Scenario 2: Vacation

Variables:

- 1) no long term cost with it
- 2) Low importance, and no long term use value
- 3) Starting funds and 1 time cost
- 4) IF YOU HAVE DEBT, NO VACATION

What strategies should we employ to get our vacation?

- 1) Saving and budgeting by cutting short term unnecessary expenses. Remove short term pleasures for a big one.
- 2) Investing in safer stocks or bonds to help grow your funds.
- 3) Plan your vacation budget and figure out how much you are putting away each paycheck.

Why this strategy?

A vacation is luxury and should have considerable planning around it. No debt should be taken for it, and ideally you should have no debt as well. Cutting expense such as eating out and coffee, can really add up especially if you invest in low risk investments that will grow and help you reach you vacation budget.

Scenario 3: Buying a home.

Variables:

- 1) Interest rate? Fixed or variable?
- 2) Length and cost of mortgage?
- 3) Credit score
- 4) Downpayment

What strategies should we employ to get our house?

- 1) First Home Savings Account (FHSA): A type of registered savings plan for Canadians saving to buy their first home. Canadian residents aged 18 years or older can open an FHSA to save towards the purchase of a home in Canada. Max of 40,000 with a yearly contribution limit of 8,000.
- 2) High yield saving account and/or Investing account. We need our money to grow if we want a sizable downpayment.
- 3) For our interest and mortgage payments, a strategy of diligent budgeting and saving is key. We don't want investments at this point, we want to cut down debt.

Why this strategy?

Building strong credit when you're young, you can get a reduced interest rate on your mortgage. Taking advantage of the FHSA and also using a saving and/or investing account will allow you to build a sizable down payment. You also now need to budget around those mortgage payments.

Scenario 4: Building wealth to retire

Variables:

- 1) Long term, lots of time to compound and grow
- 2) Wage vs inflation and Cost of Living
- 3) Lifestyle

What strategies should we employ to retire?

- 1) TFSA and RRSP contribute as much as you can
- 2) Invest in safe, moderate, and if you make enough risky. Remember the rule for diversifying risk.
 - a) S&P500 ETFs roughly return 8% a year for a low risk investment.
 - b) Government bonds
 - c) High dividend yield stocks
 - d) Growth stocks
- 3) Put away a portion of your paycheck into your savings and investing. Remember time is on your side

Why this strategy?

Investing as early as possible even if it's only a little can compound significantly as you reinvest your earnings, especially over 30+ years. A diversify portfolio allows you to grow steadily and also a chance for large gains that will boost your portfolio.

Scenario 5: Proposal Ring

Variables:

- 1) Knowing the moment when you decide to propose?
 - a) You can prepare long in advance before you meet them.
 - b) Start saving the moment you think they are the one.
 - c) Start saving the moment you decide to propose.
- 2) Cost of the ring?
 - a) Knowing what your partner wants is a big help.

Once you have these you can begin to budget because you have the time frame and can figure out how much needs to be saved.

What strategies should we employ?

- 1) Budgeting and saving (this is truly the key to life)
- 2) Investing if you have the time frame

Why this strategy?

It's a big purchase but on a simpler yet shorter timeline thus the plan reflects that.

Engage hopes that the workshops and this guidebook helped you build your understanding of the skills and knowledge needed to achieve a strong financial literacy. Building your financial future requires:

- 1) Diligent saving and budgeting
- 2) Strong debt management
- 3) Good credit
- 4) Regular investing
- 5) Knowing what you want so you can plan your strategy

We hope that these skills will help you build your financial future.